

The best known such academics were, once again, the “Nobel”-crowned Myron Scholes and Robert C. Merton, whom God created so that I could illustrate my point about Black Swan blindness.* They all experienced problems during the crisis, discussed in that chapter, that brought down their firm Long Term Capital Management. Note that the very same people who make a fuss about discussions of Asperger as a condition not compatible with risk-bearing and the analysis of nonexplicit off-model risks, with its corresponding dangers to society, would be opposed to using a person with highly impaired eyesight as the driver of a school bus. All I am saying is that just as I read Milton, Homer, Taha Husain, and Borges (who were blind) but would prefer not to have them drive me on the Nice–Marseilles motorway, I elect to use tools made by engineers but prefer to have society’s risky decisions managed by someone who is not affected with risk-blindness.

FUTURE BLINDNESS REDUX

Now recall the condition, described in [Chapter 12](#), of not properly transferring between past and future, an autism-like condition in which people do not see second-order relations—the subject does not use the relation between the past’s past and the past’s future to project the connection between today’s past and today’s future. Well, a gentleman called Alan Greenspan, the former chairman of the U.S. Federal Reserve Bank, went to Congress to explain that the banking crisis, which he and his successor Bernanke helped cause, could not have been foreseen because it “had never happened before.” Not a single member of congress was intelligent enough to shout, “Alan Greenspan, you have never died before, not in eighty years, not even once; does that make you immortal?” The abject Robert Rubin, the bankster I was chasing in Section II, a former secretary of the Treasury, used the same argument—but the fellow had written a long book on uncertainty (with, ironically, my publisher and the same staff used for *The Black Swan*).*

I discovered (but by then I was not even surprised) that no researcher has tested whether large deviations in economics can be predicted from past large deviations—whether large deviations have predecessors, that is. This is one of the elementary tests missing in the field, as elementary as checking whether a patient is breathing or whether a lightbulb is screwed in, but characteristically nobody seems to have tried to do it. It does not take a lot of introspection to figure out that big events don’t have big parents: the Great War did not have a predecessor; the crash of 1987, in which the market went down close to 23 percent in a single day,